

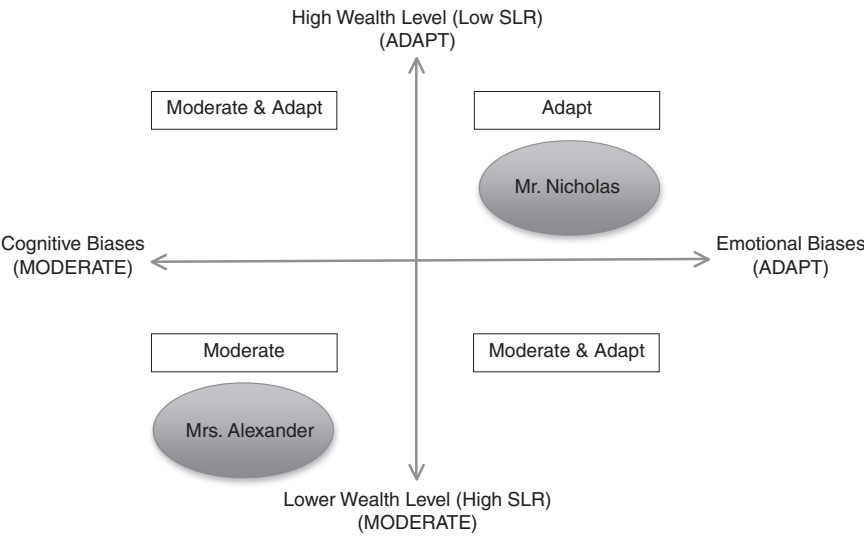


FIGURE 25.3 Illustration of Outcomes of Individual Investor Case Studies
Source: M. Pompian and J. Longo, “Incorporating Behavioral Finance into Your Practice.” *Journal of Financial Planning* (March 2005). Reprinted with permission of the Financial Planning Association. For more information on the Financial Planning Association, please visit www.fpanet.org or call 1-800-322-4237.

SUMMARY OF CASE STUDIES

Figure 25.3 illustrates the outcomes of the two case studies, plotted on a common set of axes for easy reference.

As an advisor, you may encounter cases resembling either or both of the scenarios entertained here. Or you may happen on less common cocktails of cognitive and emotional biases. Whatever scenario you encounter, it is hoped that this chapter laid out a useful template methodology that you can expand and tailor in response to your individual client situations. In general, bias type determines the feasibility of and wealth levels determine the advisability of moderating versus adapting to a client. Sometimes, the mean-variance output will be correct; other times the use of the quantitative guidelines presented in Chapter 24 should help to determine the most appropriate course of action.